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Broadcom Credit Research



Robert Schiffman
Team: Credit
BI Senior Credit Analyst

Outlook

Broadcom Deepens Circular Financing With Anthropic: Credit React

Contributing Analysts Suchi Trivedi

(Bloomberg Intelligence) -- RECENT EVENT REACTION: Broadcom's potential $42 billion financing for Anthropic appears credit-positive overall, as AI semiconductor growth could outweigh added counterparty and balance-sheet risk. Reuters reported the facility may fund about one-third of Anthropic's $125.2 billion five-year TPU lease commitment, extending the circular-financing model also used by Nvidia to support its AI ecosystem. The added exposure warrants monitoring, though Broadcom's rapid AI-revenue growth makes the roughly 15-bp widening in long-dated spreads since early August appear excessive. Positive outlooks on its A3/A-/A- ratings leave room for further upgrades, though larger AI-financing commitments could slow that path. (10/02/26)

Broadcom $100 Billion Backstop Reward Tops Risk: Credit Outlook

Contributing Analysts Suchi Trivedi

THESIS: Broadcom's potential $100 billion of AI infrastructure financing support could accelerate semiconductor revenue benefits that outweigh the added credit risk. Bloomberg News reports a bond deal that may include $60-$70 billion of senior secured debt, partly backstopped by Broadcom, plus about $30 billion of junior debt. After June's $35 billion financing for Anthropic compute capacity, longer-dated commitments could raise residual value and customer exposure, while repeated structures may reduce balance-sheet flexibility.

Broadcom’s long-dated bond spreads have widened about 15 bps since early August, which appears to overstate the incremental risk. AI growth is a meaningful offset: Fiscal 2Q AI semiconductor revenue rose 143%, and management expects more than 200% growth in 3Q to $16 billion. (08/26/26)

Credit Considerations

Credit Checklist

Broadcom Flexes AI Ecosystem Muscle as Cash Flow Scales

Contributing Analysts Suchi Trivedi

Broadcom's accelerating earnings and cash flow provide a sizable credit-profile cushion as AI financing commitments expand. Consensus sees fiscal 2026 revenue rising about 65% to $106 billion, with free cash flow topping $50 billion. That's followed by more than 60% revenue growth to over $170 billion in fiscal 2027 and free cash flow approaching $91 billion.

As Broadcom’s operational and financial strength has improved, its underlying credit profile has also strengthened, with its A3/A-/A- ratings all upgraded within the past year and all still with positive outlooks. Further rating upside exists if earnings growth and deleveraging continue, though a material expansion in contingent AI financing commitments could temper that trajectory. (08/26/26)

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Interactive Broadcom Credit Checklist

Credit Drivers	Outlook	Outlook Trend	Weighting (%)
Earnings & Cash Flow		↔	25
Leverage & Financial Policies		↔	20
Competitive Landscape		↔	10
M&A		↔	15
Event Risk		↓	5
Stock Performance		↔	10
Debt Maturities		↔	15
Valuation		↔	N.A.

Unfavorable Neutral Favorable

Note: This reflects a qualitative analysis by a Bloomberg Intelligence Analyst and is as of the date of publication.

Bloomberg Intelligence

Source: Bloomberg Intelligence

Credit Drivers: Deleveraging Potential

Broadcom's Debt Burden Looks Lighter as AI Peers Boost Leverage

Contributing Analysts Suchi Trivedi

Broadcom's aggressive use of cash pushed up total debt to almost $80 billion two years ago. That was among the highest in the tech sector, but it has since fallen below $60 billion as M&A took a back seat and AI demand fueled record growth. Shareholder returns could rise with free cash flow, yet Broadcom's exposure to hyperscalers' data-center spending limits its own funding needs. That should allow debt to keep falling, leaving Broadcom increasingly underlevered relative to tech leaders Amazon.com, Alphabet, Oracle and Meta. (09/16/26)

Lease-Adjusted Debt Lags Amazon, Apple, Oracle

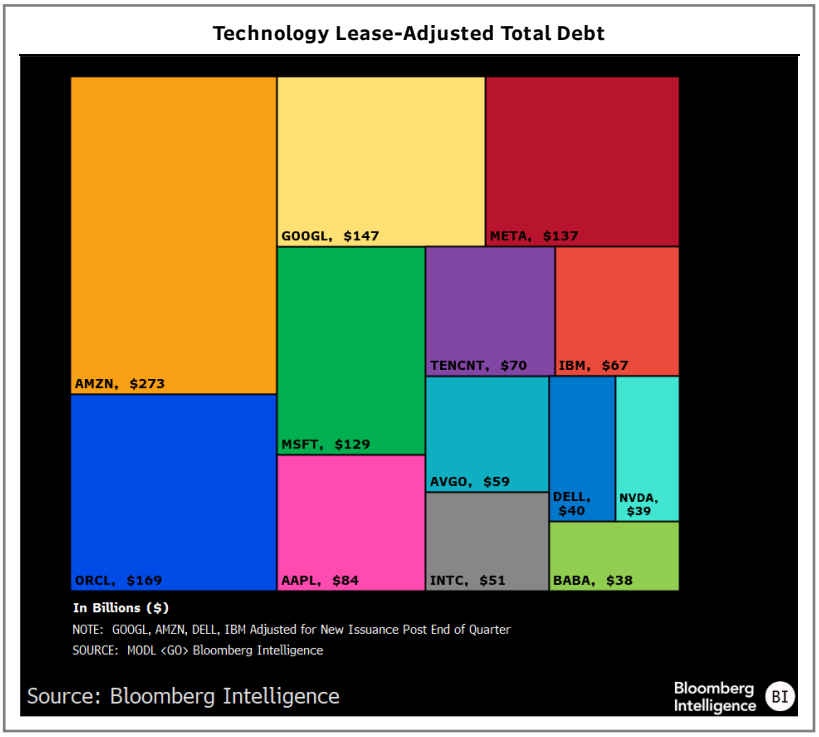
Contributing Analysts Suchi Trivedi

Broadcom's adjusted debt totals $59 billion and is far behind Oracle's $167 billion and even farther below Amazon's lease-adjusted total debt of $248 billion (pro forma for the sterling issuance). With current leverage at 1.1x, shareholder returns could grow following an additional $10 billion buyback authorization in March, without weakening its credit profile, primarily through Ebitda growth and free cash flow generation. If consensus fiscal 2026 Ebitda reaches $72 billion, leverage would fall even farther below the company's 2.5x target.

Deleveraging potential has been aided by significant free cash flow of more than $39 billion over the last 12 months and is expected to rise as high as $50 billion by the end of 2026. (09/15/26)

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221% AI Growth Drives Solid Returns, Strengthens Credit

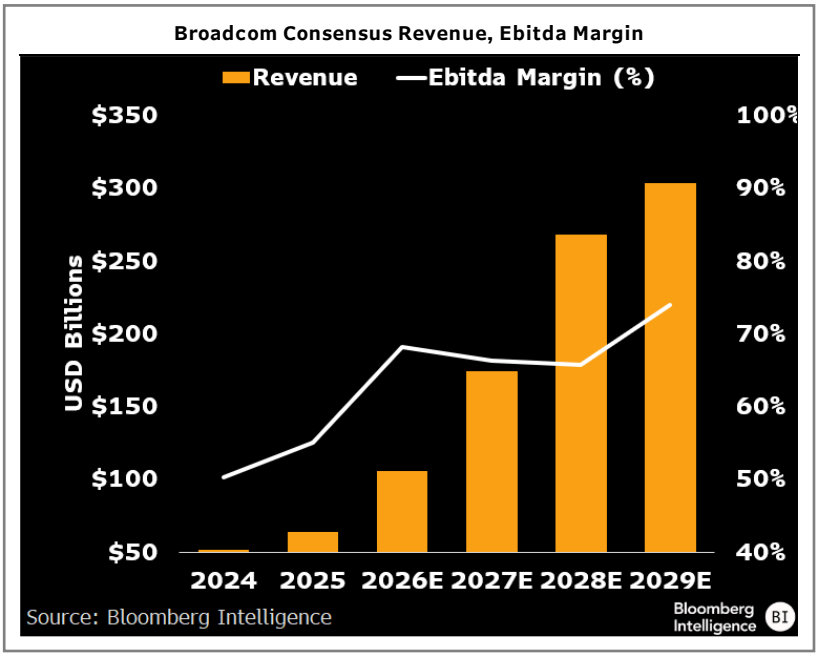
Contributing Analysts Suchi Trivedi

Strong artificial-intelligence and infrastructure-software demand drove a 221% surge in 3Q AI revenue to $16.7 billion, strengthening Broadcom's financial flexibility and investment-grade credit profile. Revenue of $29 billion rose 33% in the quarter, driving its top line to a record $89 billion over the last 12 months. Adjusted Ebitda margin of 75% in the quarter led to quarterly free cash of $13.5 billion (46% of revenue), with expectations of $170 billion in free cash flow by 2030.

Broadcom’s longer-term target of $230 billion in AI revenue by fiscal 2028 reinforces strong demand visibility, while consensus expects fiscal 2027 revenue of about $121 billion and Ebitda exceeding $115 billion. Capital returns are also rising, with dividends and share repurchases exceeding $20 billion over the past 12 months. At the same time, Broadcom has remained disciplined on leverage, paying down about $6 billion of debt net of new borrowing in the fiscal year-to-date. (09/16/26)

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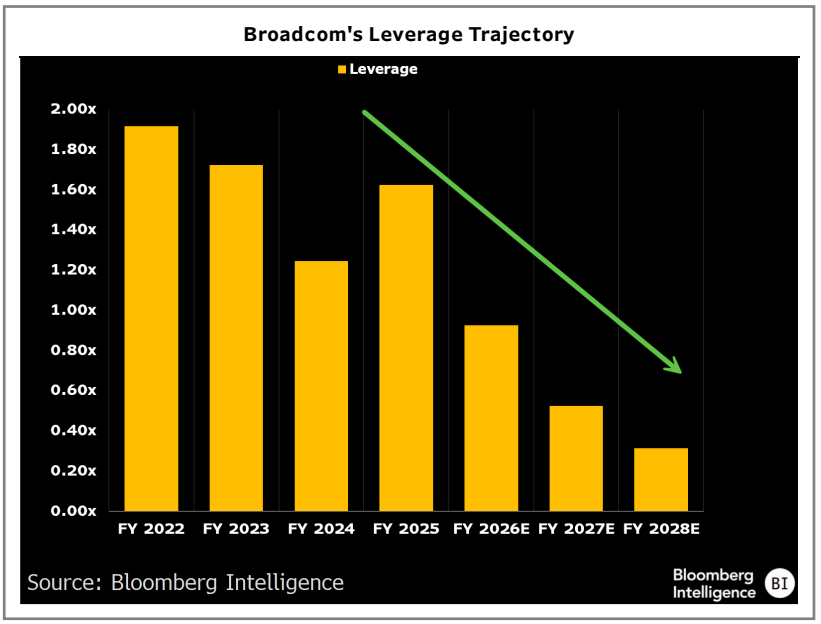
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$100 Billion Backstop Reward Tops Risk

Broadcom's potential $100 billion of AI infrastructure-financing support could accelerate semiconductor revenue benefits that outweigh the added credit risk. Bloomberg News reported that a bond deal may include $60-70 billion of senior secured debt, partly backstopped by Broadcom, plus about $30 billion of junior debt. After June's $35 billion financing for Anthropic compute capacity, longer-dated commitments could raise residual value and customer exposure, while repeated structures may reduce balance-sheet flexibility. Those concerns are partly mitigated by Broadcom's gross leverage, which has remained around 1-2x and is expected to fall below 1x by the end of fiscal 2026.

On its fiscal 3Q earnings call, Broadcom President Hock Tan neither confirmed nor denied the potential for additional residual-value guarantees or financing backstops. (09/16/26)



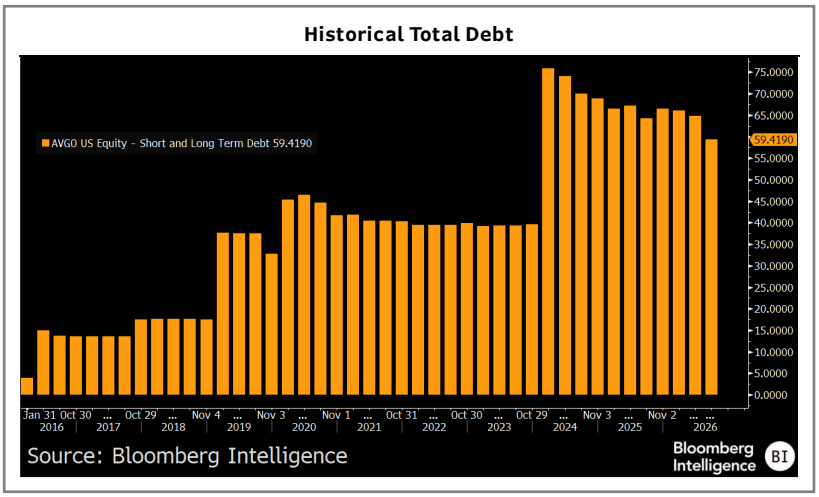
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M&A Track Record Mitigates Credit Risk

Though partially cash-financed M&A meaningfully increased Broadcom's absolute debt and leverage by in late 2023, the decision to use its considerable balance-sheet flexibility and borrowing capacity to acquire longer-term, cash-generating assets has enhanced Ebitda generation and lays the foundation for an improving credit profile.

Rising free cash flow and excess liquidity have enabled Broadcom to delever its balance sheet and improve credit ratings to the low A level, with further upside potential as suggested by rater's positive outlooks. (09/15/26)



Broadcom Scale Reduces Need for Transformative M&A

Contributing Analysts Suchi Trivedi

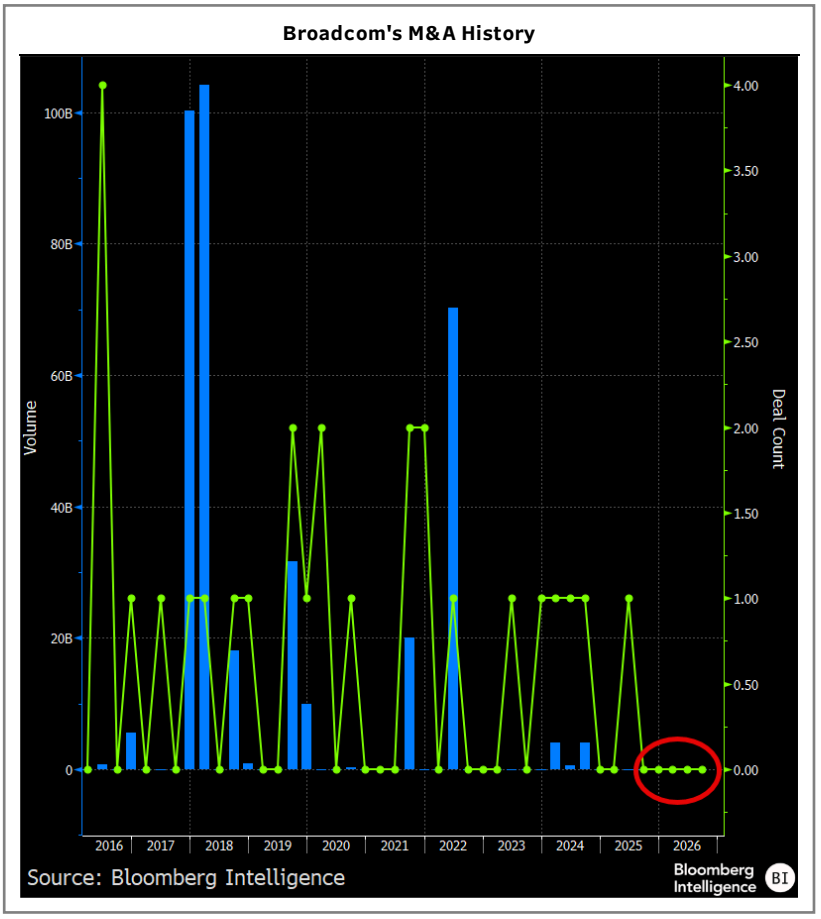
Broadcom has transformed its business over the past two decades through debt-funded M&A, building a track record of integrating large acquisitions and subsequently deleveraging. With greater scale and significant organic growth now anticipated, revenue is expected to exceed $105 billion in fiscal 2026, up from $52 billion in 2024, making similarly transformative acquisitions less likely. Growth tied to Google, Meta and Anthropic also supports a multiyear organic growth trajectory.

Broadcom’s largest acquisition came in 2023 with the $86.3 billion purchase of VMware, funded with about $30 billion of new debt. The deal materially increased Broadcom’s scale and diversified its revenue base further into infrastructure software. Its M&A track record also includes Avago’s $37 billion acquisition of Broadcom in 2015, including $17 billion in cash, followed by the $5.5 billion Brocade purchase in 2017. Broadcom funded its $18.9 billion CA Technologies acquisition in 2018 with $18 billion of new debt and bought Symantec’s Enterprise Security business for $10.7 billion in cash in 2019. (09/15/26)

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Bloomberg Intelligence



Capital Allocation Balances Returns and Deleveraging

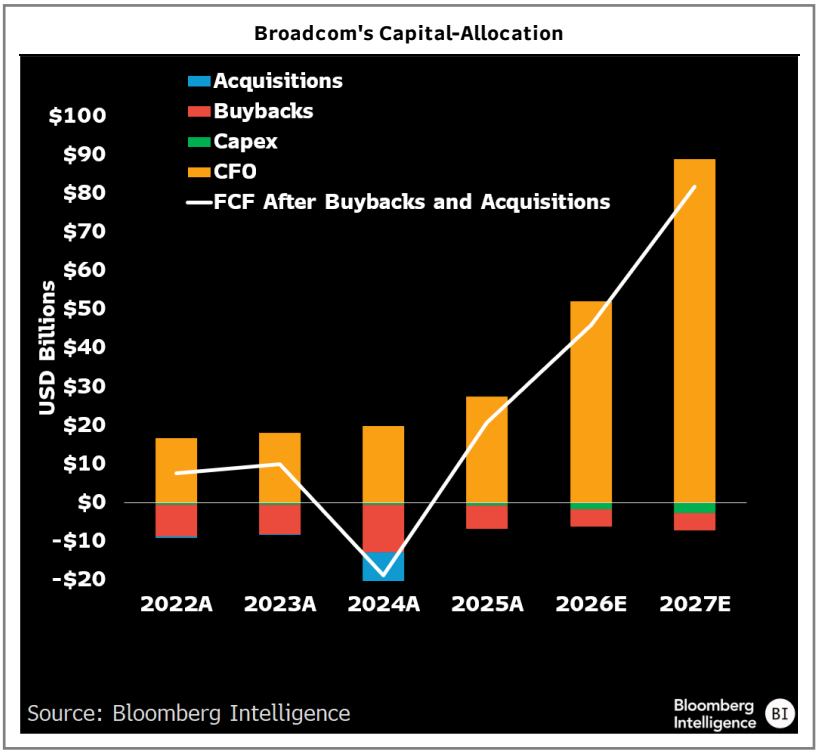
Contributing Analysts Suchi Trivedi

As shown in prior transactions, Broadcom has committed to maintaining investment-grade ratings and rapidly deleveraging its balance sheet after closing its purchase of VMware late in 2023. Even amid growing shareholder returns, management's target of reducing leverage below 2.5x within two years was met ahead of schedule. As of 3Q 26, the company's leverage stands at 1.15x.

Dividends are expected to keep consuming about 50% of the prior year's free cash flow. Broadcom raised its dividend by 10% for fiscal 2026, which will likely use near $12 billion of cash flow. That amount is affordable, as consensus annual operating cash generation remains robust. (09/15/26)

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Liquidity: Debt Issues Enhance Flexibility

Broadcom's Rapid Upgrade Trajectory Shows No Signs of Slowing

Broadcom could earn further rating upgrades over the next two years as rapid Ebitda growth and continued debt reduction pull leverage below 2x. About $6 billion of net debt repayment year-to-date and a track record of post-deal deleveraging have already helped lift the company to single A ratings, with all three major agencies maintaining positive outlooks. Just $5.9 billion of debt comes due through 2028, leaving ample room for further deleveraging as Ebitda rises well above record highs, though raters are likely to scrutinize backstop and off-balance-sheet financing that could add leverage beyond reported debt. (09/16/26)

Strong Credit Profile Supports Ratings Upside

Contributing Analysts Suchi Trivedi

A track record of rapid post-M&A deleveraging, diversification across software and semiconductor end markets, and solid growth have helped lift Broadcom to single A ratings. Following multiple upgrades in 2H 2025, all three rating agencies maintain positive outlooks, suggesting further upside. Key triggers for an upgrade review include sustainably low leverage in the 2-2.5x range, with some leeway for a temporary increase to fund M&A provided Broadcom remains committed to deleveraging afterward. All three agencies will also continue to monitor backstop and off-balance-sheet financing arrangements.

S&P's view reflects positive operating-performance expectations over the next two years as AI-related tailwinds boost sales. Fitch indicates a more conservative leverage profile with heightened free cash flow allowing for organically funded spending. (09/15/26)

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Click for Rater Targets and Notes

	Moody's	S&P	Fitch
Ratings	A3	A-	A-
Outlook	Postive	Positive	Positive
Possible Triggers			
Upward Bias	Strong Growth Over Medium-Term	Net Leverage Sustained < 2.5x Amid M&A and Returns	Leverage < 1.5x and CFO/Capex > 35%
	Increasing Liquidity and Declining Gross Leverage	Consistent, Balanced Growth in Semis and Software	End Market Diversification
Downward Bias	Adj. Leverage > 2.5x	Large Debt Funded M&A w/Leverage near 3x	Leverage Sustained > 2.5x
	Eroding Liquidity From Large Debt-Funded M&A		Negative Organic Revenue Growth
Note	Click	Click	Click

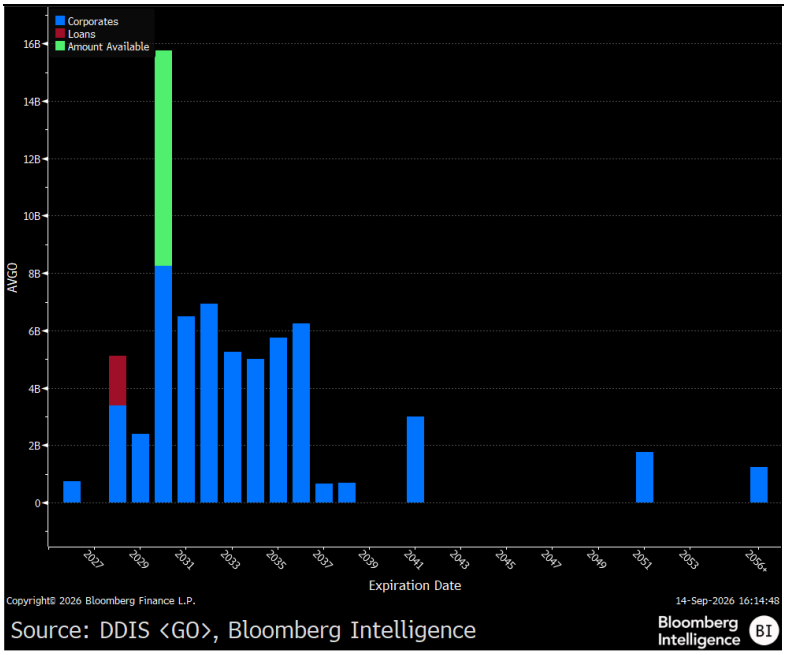
Source: Bloomberg Intelligence

Duration Extension Aids Liquidity Runway

Broadcom's debt has ballooned over the past decade as leverage helped fund an aggressive M&A strategy. In January, the company issued another $4.5 billion of bonds, bringing total 2025-26 issuance to $18.5 billion, primarily to refinance obligations over the next three years. That follows $10 billion of issuance in 2024, as Broadcom took advantage of lower rates, tighter spreads and improving credit ratings to extend maturities.

With Ebitda climbing sharply and leverage falling well below its target, Broadcom has capacity to increase shareholder returns while using incremental borrowing to supplement free cash flow. Only $5.9 billion of debt comes due through the end of 2028, yet bond issuance has remained elevated as the company extends duration and redirects more cash toward buybacks. That mix could leave gross debt comparatively high even as leverage continues to fall. (09/16/26)

Broadcom Debt Distribution



Source: DDIS <GO>, Bloomberg Intelligence

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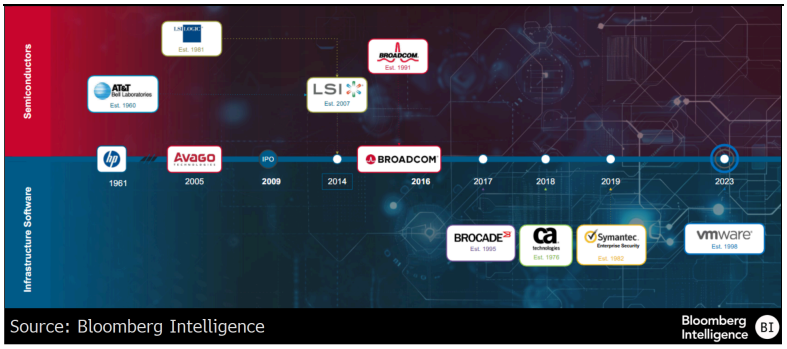
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A History of M&A in Software and Semis

Contributing Analysts Suchi Trivedi

(09/15/26)

Broadcom Organizational Transformation



High-Grade Commitment Was Well Publicized

Contributing Analysts Suchi Trivedi

Broadcom's management has emphasized its commitment to investment-grade ratings, a goal that didn't change following plans to acquire VMware. Its dividend policy of delivering 50% of prior-year free cash flow to shareholders is also unchanged, with plans to continue increasing its dividend over time as cash flow rises. Broadcom are expected to produce over $50 billion of free cash flow this year, rising towards $85 billion in 2027.

Management's confidence that it can realize M&A synergies and grow free cash flow was highlighted by its expectations of adding $8.5 billion of pro forma Ebitda within three years after closing. (09/15/26)

Bloomberg Transcript

"We are also committed to maintaining our investment-grade rating and plan to rapidly delever from approximately 3.5x gross debt-to-EBITDA at closing, to normalized leverage ratio of less than 2.5x gross debt to EBITDA within approximately two years post deal close. Between now and deal close, we expect to generate considerable free cash flow. As it relates to the buyback, we have $3 billion remaining under the current authorization to date. In addition, we are announcing today an incremental $10 billion authorization to buy back shares through the end of December of 2023."

Kirsten Spears, CFO - Broadcom M&A Call
Bloomberg Transcript, May 26, 2022
Click to view entire transcript

Valuation: Room to Tighten

Broadcom's AI-Fueled Rally May Eventually Lead to Improved Value

Contributing Analysts Suchi Trivedi

Broadcom's revenue diversity and strong cash flow support relative value vs. technology peers as the company's rapid deleveraging improves credit quality. Booming AI demand should sustain cash generation, providing Broadcom capacity to reduce leverage while funding larger shareholder returns. Continued balance sheet improvement could support further ratings upgrades and spread convergence toward technology peers that trade tighter. (09/17/26)

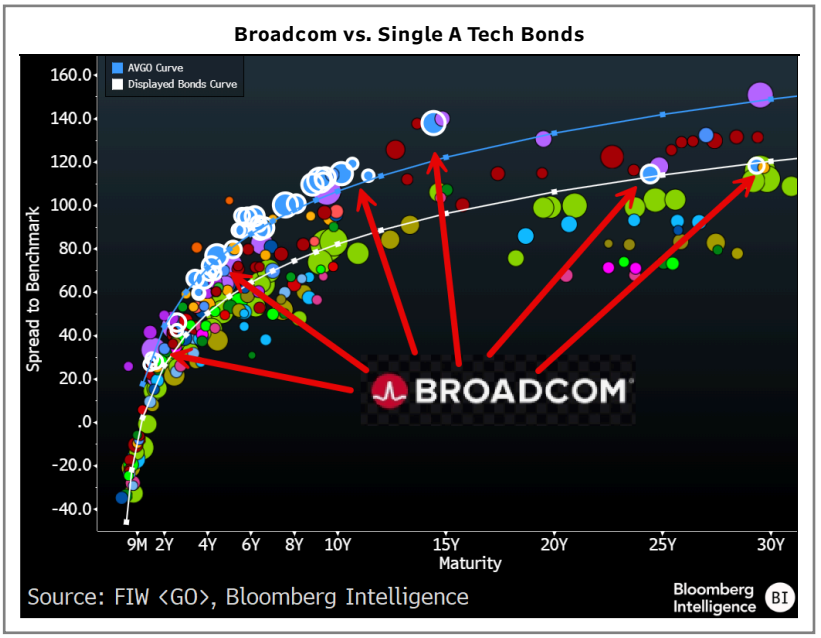
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Debt Paydown, AI Growth Could Tighten Spreads

Since the start of 2024, Broadcom has issued $28.4 billion of bonds, including $4.5 billion year-to-date. Yet management's commitment to high grade ratings and balance sheet flexibility is evident in about $6 billion of net debt repayment this year, multiple upgrades and positive outlooks from all three major raters. Broadcom's bonds trade wide to single A peers including Adobe, Qualcomm, AMD, Applied Materials and Texas Instruments in the front end of the curve. Rapid revenue growth, particularly from AI infrastructure, could support spread tightening toward the single A peer average in the near term. (09/17/26)



Bonds Widen as Tech-Issuance Concerns Deepen

Broadcom's bonds span a wide dollar-price range, from about 67 cents on the dollar to par, though yields are clustered more tightly at 5-6.5%. Year-to-date excess returns are negative 163 bps, underperforming technology peers by 119 bps. The difference reflects investor concerns about rising phantom leverage from off-balance-sheet financing arrangements, compounded by heavy long-duration issuance across the technology sector that has weighed disproportionately on issuers with larger debt loads.

With A3/A-/A- ratings and positive outlooks at all three raters, Broadcom's perceived credit risk is low, leaving room for excess-return recovery. (09/17/26)

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Broadcom's Longer-Duration Bonds, Prices

Ticker	Coupon	Maturity	Amt Out(MM)	BB R...	Ask Px	Ask Yield
AVGO						
AVGO	5.700	01/15/2056	1250.00	A-	89.426	6.512
AVGO	3.750	02/15/2051	1748.08	A-	67.327	6.417
AVGO	3.750	02/15/2051	1.92	A-	66.699	6.485
AVGO	3.500	02/15/2041	2985.32	A-	73.197	6.369
AVGO	3.500	02/15/2041	14.68	A-	73.332	6.351
AVGO	4.900	02/15/2038	697.66	A-	90.342	6.085
AVGO	4.926	05/15/2037	654.00	A-	91.671	5.993
AVGO	3.187	11/15/2036	2731.28	A-	78.400	6.064
AVGO	3.187	11/15/2036	18.73	A-	78.090	6.112
AVGO	4.800	02/15/2036	2250.00	A-	90.886	6.085
AVGO	4.950	01/15/2036	1250.00	A-	91.927	6.096
AVGO	3.137	11/15/2035	3241.27	A-	79.460	6.095
AVGO	3.137	11/15/2035	8.71	A-	79.540	6.081
AVGO	5.200	07/15/2035	2500.00	A-	94.319	6.038
AVGO	4.800	10/15/2034	1750.00	A-	92.496	5.984
AVGO	4.500	08/01/2034	6.19	NR	90.493	6.033
AVGO	3.469	04/15/2034	3240.68	A-	84.916	5.972
AVGO	3.469	04/15/2034	9.32	A-	84.916	5.972
AVGO	3.419	04/15/2033	2247.57	A-	86.776	5.870
AVGO	3.419	04/15/2033	2.43	A-	86.813	5.863
AVGO	2.600	02/15/2033	1745.82	A-	83.092	5.793
AVGO	2.600	02/15/2033	4.18	A-	82.822	5.850

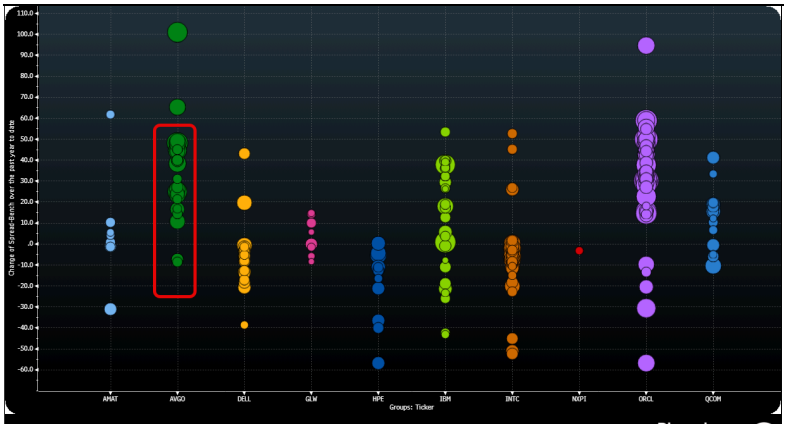
Source: Bloomberg Intelligence

Bloomberg Intelligence BI

Tech Spreads Mostly Wider in 2026

Broadcom's credit curve has generally widened over the past year despite improving leverage and ratings, leaving spreads looking elevated relative to the company's strengthening credit profile. Continued deleveraging and AI-driven earnings growth could help close the spread gap vs. single A technology peers. (09/17/26)

Broadcom Spread Changes vs. Tech Peers



Source: FIW <GO>, Bloomberg Intelligence

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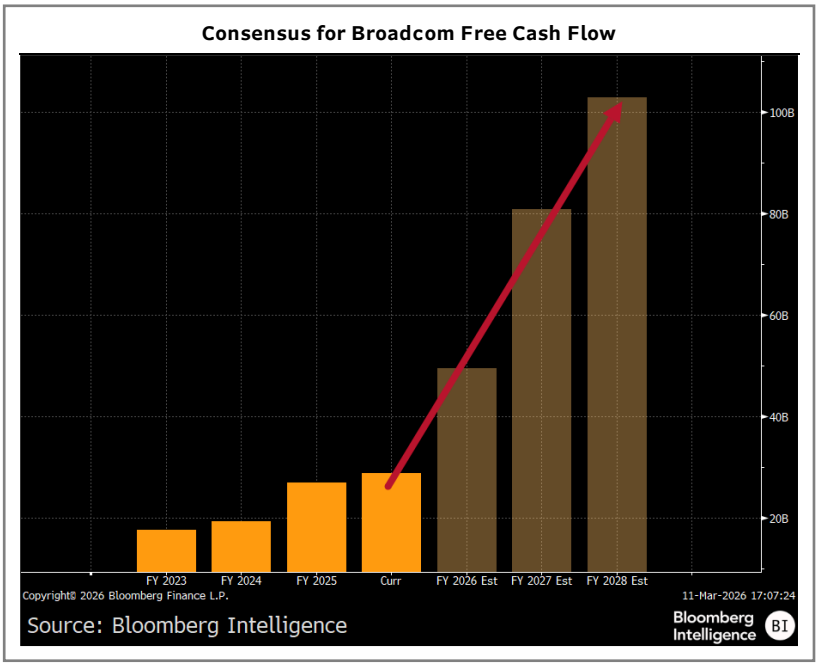
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Bloomberg Intelligence

Free Cash Flow Is Set to Jump

(09/16/26)



Earnings Review

Earnings Review

Broadcom AI Sales Guidance Looks Conservative: Earnings Outlook

Contributing Analysts Kunjan Sobhani (Technology) & Oscar Hernandez Tejada (Technology)

Post-3Q Earnings Outlook: Broadcom's modest 3Q beat and largely in-line 4Q revenue guidance initially left investors wanting more, but management materially strengthened out-year visibility on the earnings call. Broadcom raised its fiscal 2027 AI revenue target to about $115 billion from its prior $100 billion-plus framework and, for the first time, quantified fiscal 2028 at about $230 billion (vs. consensus of $180 billion). Customer visibility also improved, with Anthropic targeting 5 gigawatts in 2027, up from the prior view of 3 GW, and another 10 GW in 2028. OpenAI expects 1.3 GW in 2027 and more than 5 GW in 2028, while Meta sees 3 GW through 2028 and Google remains set for multiple tens of billions of dollars annually.

Based on our $15-$20 billion-per-GW framework, disclosed deployments continue to imply potential upside of more than $50 billion in fiscal 2027 and $50-$100 billion in fiscal 2028. Data-center readiness and supply remain the key gating factors.

Gross margin could decline as higher-memory XPUs become a larger share of sales, with 4Q guided to about 73%. Still, operating leverage remains solid, as Broadcom has line of sight to more than $30 of EPS in fiscal 2028, suggesting earnings growth can continue to outpace gross-margin pressure.

(09/03/26)

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Highlights From Recent Results:

- Fiscal 2027 AI Revenue Target Raised to About $115 Billion; Fiscal 2028 Seen Doubling to $230 Billion
- Anthropic Seen at 5 Gigawatts in 2027 and Another 10 GW in 2028; OpenAI Expected Above 5 GW in 2028
- AI Demand Exceeds Current Outlook, With Supply and Data-Center Readiness Limiting Upside
- Fiscal 2028 EPS Targeted Above $30 Despite Gross-Margin Pressure From XPU Mix

Additional Resources:

- Earnings Release | NSN »
- Earnings Call Transcript | DOCC »

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